

Supplier Management and Performance Policy

SYNTHETIC DEMO DOCUMENT — AI Supply Chain Copilot Portfolio Project

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1. Supplier Performance Framework

Supplier performance is reviewed using delivery reliability, quality, lead-time stability, responsiveness, and operational impact. ERP transactional metrics and supplier master data may both be used, but the metric definition and measurement period must be identified when results differ.

2. Performance Tiers

Reliable suppliers generally demonstrate stable lead times, strong quality, and on-time delivery of 90% or greater. Average suppliers require routine monitoring. Delayed suppliers require increased management attention and corrective-action tracking.

3. Corrective Action Process

When a supplier breaches an established performance threshold, the supplier owner should document the issue, quantify operational impact, request root-cause analysis, agree corrective actions and owners, and establish a review date.

Corrective action plans should contain measurable targets rather than general commitments. Examples include reducing late shipments, improving confirmed-date accuracy, shortening response time, or stabilizing lead-time variability.

4. Escalation

A delay rate above 20%, recurring critical shortages, or repeated failure against a contractual service level triggers formal review. A second-source assessment should be considered when recovery is uncertain or the supplier supports business-critical items.

Contract termination or suspension is not automatic. Procurement must review contractual rights, business continuity risk, inventory exposure, alternate-source readiness, and total cost before recommending such action.

End of synthetic demo document.